

indexing always seemed to overlook this simple issue. Somehow indexing is riskier than buying a single stock, or it can lead to industrial conspiracy to fix prices driven by the indexers (?!?), or the perennial favorite, “Just wait until the next downturn, you will clearly see the value of (higher cost) active management.” Yet each time, that value fails to manifest.

Stock selection

Throughout the history of investing, there have been a group of savants who have proven themselves to be brilliant stock pickers: Peter Lynch, Warren Buffett, Benjamin Graham, John Templeton, Thomas Rowe Price Jr., John Neff, Julian Robertson, and Will Danoff round out the list. Their numbers are few—they are the exception that proves the rule.

The challenge in selecting stocks is that the vast majority of stocks don’t move the needle. As we saw in earlier chapters, the academic research is clear: Most stocks don’t really matter; the typical stock may be up a bit or down a bit, while quite a few disasters crash and burn. But the big drivers of market returns are the 1-ish% of publicly traded companies that put up giant performance numbers over an extended period of time. To succeed as investors, YOU MUST OWN THEM.

The odds are worse than 50 to 1 against you picking those big winners, and are near impossible that you pick *only* those big winners.

Market-cap-weighted indexing, on the other hand, guarantees not only that you will own them but that as these companies get bigger, you will own more of them. Over time, this has proven to be tough to beat. Add in low costs and low taxes, and this formula is nearly impossible to beat.

Behavior

When investors index they make a series of decisions: How much equity, how much bonds, how globally diversified, how much will I add each paycheck, and how often do I rebalance? But that’s pretty much it. Once